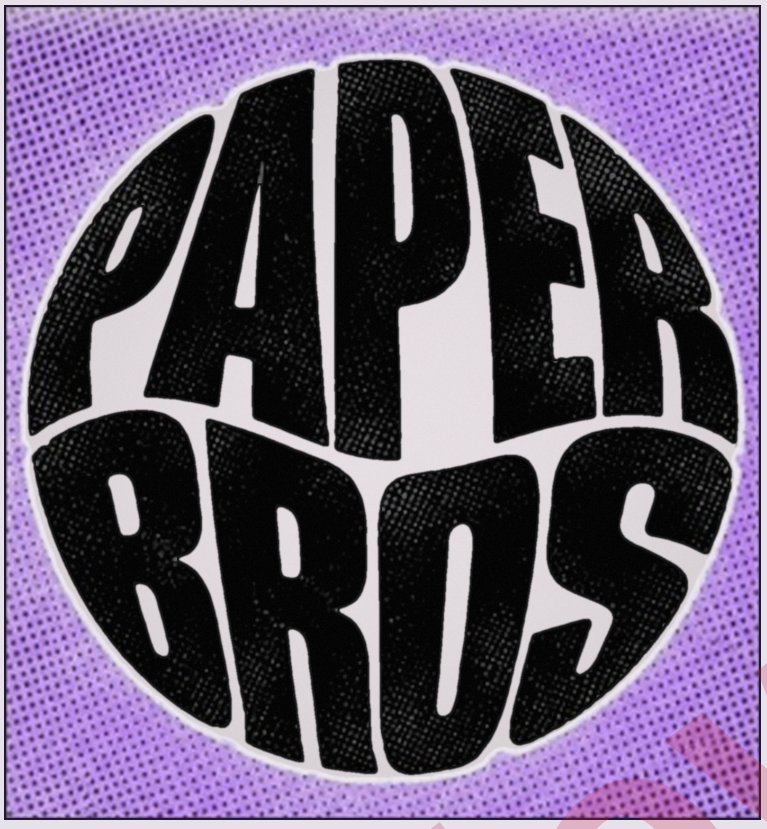
PREVIEW



Bank

$GP \div Revenue \times 100$

$(Opening + Closing) \div 2$

$A = L + C$

$\Sigma Dr = \Sigma Cr$

$NBV = Cost - Dep.$

$x : 1$

$ROCE\ \%$

A ONE STOP SOLUTION FOR YOUR BOARDS

DEVELOPED BY STUDENTS, FOR STUDENTS

CAMBRIDGE O LEVEL

ACCOUNTING

7707 · FULL SYLLABUS · 2027 – 2029

COMPLETE STUDY NOTES

THEORY · FORMATS · WORKED EXAMPLES · PRACTICE QUESTIONS · FULL SOLUTIONS

ALL 7 SYLLABUS TOPICS · 38 WORKED EXAMPLES · 120 MCQS · 24 STRUCTURED QUESTIONS · FINAL REVISION FROM PAGE 163

Dr Cr

$

$Assets = Liabilities + Equity$

$25\%\ mark\text{-}up = 20\%\ margin$

A PRODUCT OF PAPERBROS

$Dr \mid Cr$

Preview

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Preview

How to use these notes

These notes follow the Cambridge O Level Accounting 7707 syllabus for 2027, 2028 and 2029 topic by topic. Every learning point in the syllabus is covered, and so are the formats you need that the syllabus does not list separately, such as the three-column cash book, the subscriptions account, the statement of corrected profit and the total trade receivables account used in incomplete records.

Each chapter starts with a **syllabus checklist**. Tick each point only when you can explain it without looking and do a question on it without help. The notes then explain the topic, show the format and work through examples. Each chapter ends with **multiple-choice questions** in the style of Paper 1 and **structured questions** in the style of Paper 2, followed by full solutions.

The features you will see

KEY TERM

A definition you should be able to write word for word. Definitions earn easy marks on both papers, so learn them exactly.

EXAMINER TIP

Advice on how examiners award marks, what they look for in a format, and which wording earns credit.

COMMON ERROR

A mistake candidates often make. Read these before every exam. Most lost marks come from the same small set of errors.

REMEMBER

A short summary of a rule you must not forget.

WORKED EXAMPLE How a worked example looks

Worked examples show the question, the workings and the finished answer in the correct layout. Cover the answer, try it yourself, then check your work.

A study method that works

1. **Read a section once**, slowly, and make sure you follow every figure in the worked examples.
2. **Close the notes** and rewrite each format from memory: the headings, the order of items, and where subtotals go.
3. **Do the end-of-chapter questions** under timed conditions. Allow about 1 minute 45 seconds per multiple-choice question and about 20 minutes per 20-mark structured question.
4. **Mark your work against the solutions**, line by line. For every mark you lost, write down why.
5. **Return to the formula sheet** at the back once a week until you can reproduce every formula without looking.

Preview

A WORD ON "FULL MARKS"

No set of notes can promise a particular mark, because the exam rewards what you can do on the day. What these notes can do is make sure there is nothing in the syllabus you have not seen, practised and checked. If you can do every question in this book correctly, without looking at the solutions, you are ready for any question Cambridge can set.

The examination at a glance

You take **two papers**. Both are compulsory and both cover the whole syllabus. Calculators are allowed in both.

Paper	Type	Duration	Marks	What you do
Paper 1	Multiple choice	1 hour 30 minutes	40 (30%)	Answer 40 multiple-choice questions. Many involve calculations.
Paper 2	Structured written paper	1 hour 45 minutes	100 (70%)	Answer five compulsory questions of 20 marks each, based on stimulus material.

In Paper 2 you may be asked to do calculations, complete a cash book, complete an incomplete statement, prepare accounts from given information, or prepare suspense accounts and journal entries. Use the marks shown for each part as a guide to how much to write and how long to spend.

Assessment objectives

Objective	What it tests	Overall	Paper 1	Paper 2
AO1 Knowledge and understanding	Knowing facts, terms, concepts and techniques, and applying them to accounting situations	66%	80%	60%
AO2 Analysis	Selecting, calculating and interpreting data; analysing financial information; presenting it in the right form	24%	20%	25%
AO3 Evaluation	Interpreting and evaluating information and drawing conclusions	10%	0%	15%

AO3 marks appear only in Paper 2. They are usually the last part of a question: "Advise", "Evaluate" or "Discuss". To score them you must give points on **both sides** and then make a **decision** that follows from your points.

Command words and what they ask you to do

Command word	Meaning	What this looks like in accounting
Advise	Write down a suggested course of action	Give a recommendation, e.g. "Hamid should take the loan", supported by reasons from the data.
Analyse	Examine in detail to show meaning and relationships	Break a figure or trend into its causes, e.g. why gross profit fell.
Calculate	Work out from given facts or figures	Show workings. A correct answer with no workings can lose marks if it is wrong.
Compare	Identify similarities and/or differences	Use both sets of figures: "the current ratio of X (2.1 : 1) is higher than Y (1.4 : 1)".

Preview

Command word	Meaning	What this looks like in accounting
Define	Give a precise meaning	Learn definitions exactly. One clear sentence.
Demonstrate	Show how, or give an example	Use a short numerical example or a journal entry.
Describe	State the points or main features	Give characteristics, not reasons.
Discuss	Write about issues in depth in a structured way	Points for and against, each explained.
Evaluate	Judge the quality, importance or amount of something	Give both sides, then a justified conclusion.
Explain	Set out purposes or reasons; say why or how	Each point needs a reason: "...because...", "...so that...".
Give	Produce an answer from a source or from memory	Short answer. No explanation needed.
Identify	Name, select or recognise	One word or phrase is enough.
Justify	Support a case with evidence or argument	Use figures from the question to back your decision.
Prepare	Present information in a suitable format	Full heading, correct layout, $ signs, labels and totals.
State	Express in clear terms	Brief, factual answer.
Suggest	Apply knowledge where several answers are valid	Any sensible point that fits the business in the question.

Preview

Exam technique

Paper 1: multiple choice

You have 90 minutes for 40 questions, a little over two minutes each. There is no penalty for a wrong answer, so **never leave a question blank**.

- **Work out the answer before you look at the options.** The wrong options are usually the results of common mistakes, such as using list price instead of net price, or closing inventory instead of average inventory.
- **Watch for "not", "least" and "most".** Underline them.
- **Write workings on the question paper** for every calculation, and check the unit: $, %, times or days.
- **Eliminate** options you know are wrong, then choose between the rest.
- If a question takes more than three minutes, mark it, move on and come back at the end.

Paper 2: structured questions

You have 105 minutes for five 20-mark questions: about **21 minutes per question**. Every question is compulsory.

Stage	What to do
Read (2 minutes)	Read the whole question, including every part, before writing. Underline dates, rates, "for the year ended" and every adjustment.
Plan the format	If a format is given in the answer space, use its headings and order exactly. If not, use the layouts in this book.
Calculate	Show workings beside the format or in a labelled working. Tick each piece of information as you use it.
Explain and evaluate	For written parts, use the marks as a guide: about one developed point per 2 marks.
Check (1 minute)	Do the totals balance? Are balances b/d on the correct side? Are all units and labels present?

Writing answers that earn the marks

Command word	Structure that scores
State, give, identify	A short, precise answer. No explanation needed.
Explain	Point + reason: "Depreciation is charged **because** the asset wears out, **so** its cost is matched against the revenue it helps to earn."
Calculate	Formula, figures substituted, answer with unit. Round only at the end.
Compare	Use both figures in the same sentence: "Shop X's margin (40%) is higher than Shop Y's (25%)."
Evaluate, discuss	Points for **and** against, each explained, then a conclusion.
Advise, justify	A clear decision ("Hamid should...") supported by two or three reasons using figures from the question.

Preview

Presentation rules for full marks

Accounting is marked line by line. A correct figure in the wrong place, or without a label, often earns nothing. These rules apply to every format in this book.

Headings

- Every financial statement needs a **three-part heading**: the name of the business, the name of the statement, and the date or period. A statement of profit or loss covers a period ("for the year ended 31 December 2026"). A statement of financial position is at a point in time ("at 31 December 2026").
- Every ledger account needs its **name** and **Dr** and **Cr** sides. Put **$** at the top of every money column.

Figures and labels

- Label every figure. "Less Drawings (4 000)" earns the mark; "(4 000)" on its own does not.
- Show deductions in brackets or with "Less". Do not use a minus sign in the middle of a format.
- Draw a single line above a subtotal and a double line under a final total.
- Show workings for every calculated figure, either beside the format or in a separate labelled working.

Ledger accounts

- Enter the **date**, the **details** (the name of the other account in the double entry) and the **amount** on every line.
- Use **Balance c/d** (carried down) before the totals and **Balance b/d** (brought down) after them, on the opposite side.
- Totals on both sides must be level with each other.

Ratios

- Use only the formulas given in the syllabus. They are printed in Chapter 6 and on the formula sheet.
- Give percentages and ratios to **two decimal places** unless told otherwise. Write current and acid test ratios as **x : 1**, for example 1.85 : 1.
- Give days to the nearest whole day (or as instructed), and always write the unit: "%", "times" or "days".

THE "OWN FIGURE" RULE

If you make an error early in a question, examiners usually allow later marks for correct use of your wrong figure. This is called the **own figure rule**. So never leave a later part blank because an earlier part went wrong. Use your figure and carry on.

COMMON PRESENTATION ERRORS

- Writing "Balance" instead of "Balance b/d" or "Balance c/d".
- Using "Profit and loss account" or "Balance sheet". Use **Statement of profit or loss** and **Statement of financial position**.
- Writing "Debtors" and "Creditors". Use **Trade receivables** and **Trade payables**.
- Forgetting the date line in a heading, or using "for the year ended" on a statement of financial position.

Preview

Terms used in this book

Cambridge uses international terminology. You may see older terms in other books, so learn both.

Term used by Cambridge (use this)	Older term you may see
Statement of profit or loss	Income statement, trading and profit and loss account
Statement of financial position	Balance sheet
Revenue	Sales, turnover
Trade receivables	Debtors
Trade payables	Creditors
Inventory	Stock
Non-current assets	Fixed assets
Other receivables (prepaid expenses, accrued income)	Prepayments, accrued income
Other payables (accrued expenses, income received in advance)	Accruals
Irrecoverable debts	Bad debts
Allowance for irrecoverable debts	Provision for doubtful debts
Profit for the year	Net profit
Retained earnings	Retained profits, profit and loss balance
Carrying amount / net book value	Written down value

Preview

CHAPTER 1

The fundamentals of accounting

1

This chapter explains what accounting is for, how it differs from book-keeping, and why a business needs to measure its profit. It then introduces the single most important idea in the subject: the accounting equation. Every format later in the book is built on it.

SYLLABUS CHECKLIST

- ☐ the difference between book-keeping and accounting
- ☐ the purposes of measuring business profit and loss
- ☐ the role of accounting in monitoring progress and decision-making
- ☐ assets, liabilities and owner's equity
- ☐ the accounting equation
- ☐ how to apply the accounting equation

IN THIS CHAPTER

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Preview

1.1 The purpose of accounting

Every business, however small, takes part in **financial transactions**: it buys goods, sells them, pays wages, borrows money and receives money from customers. The owner needs a reliable record of these transactions, and needs to know whether the business is making money. Accounting provides both.

Book-keeping and accounting

BOOK-KEEPING

The detailed recording of a business's financial transactions in its books of account, usually on a daily basis.

ACCOUNTING

The use of the information recorded by the book-keeper to prepare financial statements, and to analyse and interpret them so that the owner and others can make decisions.

Book-keeping is the **recording** stage. Accounting starts where book-keeping ends: it **summarises**, **presents** and **interprets** the records.

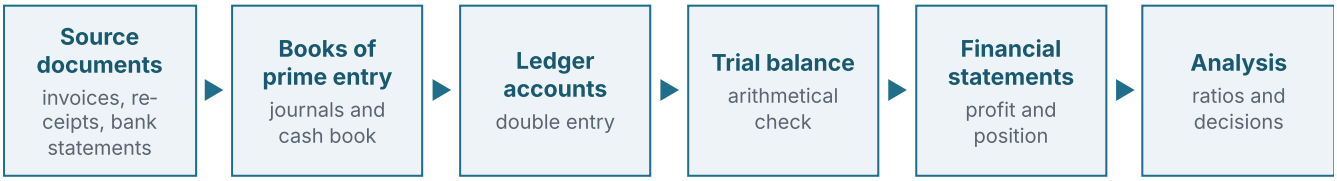
	Book-keeping	Accounting
Main activity	Recording transactions in books of prime entry and ledger accounts	Preparing financial statements and analysing them
Done by	A book-keeper, or the owner of a small business	An accountant
Skill needed	Accuracy and routine; follows set rules	Judgement, analysis and interpretation
How often	Daily, as transactions happen	Usually at the end of a period (monthly or yearly)
Output	Books of prime entry, ledger accounts, trial balance	Statement of profit or loss, statement of financial position, ratios, reports
Purpose	To keep a complete and accurate record	To provide useful information for decision-making

EXAMINER TIP

A common 2-mark question is "Explain the difference between book-keeping and accounting." Give one point for each: book-keeping is the *recording* of transactions; accounting *uses* those records to prepare and interpret financial statements.

The accounting process

The diagram shows how information flows through the accounting system. Each stage is covered in a later chapter.



Preview

The first four stages are book-keeping. Preparing and analysing financial statements is accounting.

Why measure profit and loss?

PROFIT

The amount by which a business's income (revenue) is greater than its expenses for a period. If expenses are greater than income, the business has made a **loss**.

A business measures its profit or loss for these reasons:

1. **To assess performance.** Profit shows whether the business is successful. The owner can compare this year with last year, or with similar businesses.
2. **To decide how much the owner can take out.** Drawings should normally come out of profit. Taking out more than the profit reduces the owner's capital.
3. **To plan for the future.** Profit figures help the owner decide whether to expand, cut costs, change prices or stop selling a product.
4. **To obtain finance.** Banks and other lenders want to see a record of profits before they lend, because profit shows that the business can repay.
5. **To calculate tax.** The tax authorities use the profit figure to work out the tax payable.
6. **To value the business.** A profitable business is worth more if the owner wants to sell it or take in a partner.
7. **To share profit fairly.** In a partnership, profit must be measured before it can be divided between the partners. A limited company needs profit figures to decide dividends.

Accounting information for monitoring and decision-making

Accounting records do not just look backwards. They provide the information the owner needs to **monitor progress** (check how the business is doing against plans and past results) and to **make decisions** about the future.

Use	Example
Monitoring progress	Comparing this year's revenue and profit with last year's; checking whether expenses are rising faster than revenue; checking actual results against a budget.
Controlling costs	Identifying which expenses have increased, such as electricity or wages, so they can be reduced.
Managing cash	Using the cash book and bank statements to make sure there is enough money to pay suppliers and wages on time.
Credit control	Using the sales ledger to see which customers have not paid, so the business can chase them.
Pricing decisions	Using the cost of goods and the gross profit margin to set selling prices.
Investment decisions	Deciding whether to buy a new machine or open a second shop, based on past profits and expected returns.
Financing decisions	Deciding whether to take out a loan, and showing the lender the statements it needs.

REMEMBER

Accounting information is also used by people **outside** the business: lenders, suppliers, investors, employees and the tax authorities. These users are covered in detail in Chapter 6.4.

Preview

Types of business organisation

You will meet four types of organisation in this syllabus. They all keep accounts, but the formats differ slightly.

Organisation	Description	Main statements
Sole trader	A business owned by one person, who takes all the profit and has unlimited liability	Statement of profit or loss; statement of financial position
Partnership	A business owned by two to twenty partners who share the profit	As above, plus an appropriation account and partners' capital and current accounts
Limited company	A business owned by shareholders, with limited liability	Statement of profit or loss; statement of changes in equity; statement of financial position
Club or society	A non-trading organisation run for its members, not for profit	Receipts and payments account; income and expenditure account; statement of financial position

A business may also be classed by what it does. A **trading business** buys and sells goods. A **service business** sells services, such as repairs, consulting or hairdressing. A **manufacturing business** makes the goods it sells. Many businesses combine more than one of these.

1.2 The accounting equation

Assets

ASSETS

Resources owned by a business, or amounts owed to it, which will bring it economic benefits.

Non-current assets are assets bought to be used in the business for more than one year and not for resale: premises, machinery, fixtures and fittings, office equipment, motor vehicles. Some are **intangible** (they have no physical form), such as goodwill or a patent.

Current assets are assets that are expected to change in value or be used up within one year: inventory, trade receivables, other receivables, bank balance and cash.

Liabilities

LIABILITIES

Amounts owed by a business to people or organisations outside the business.

Current liabilities are due for payment within one year: trade payables, other payables (accrued expenses), bank overdraft. **Non-current liabilities** are due after more than one year: long-term bank loans, mortgages, debentures.

Owner's equity (capital)

OWNER'S EQUITY (CAPITAL)

The amount the business owes to its owner. It is the owner's investment in the business: the capital introduced, plus profits earned, less drawings taken out.

Preview

The business is treated as **separate from its owner** (the business entity concept, Chapter 7). So when the owner puts money into the business, the business owes that amount back to the owner. This is why capital appears on the same side as liabilities.

Capital **increases** when the owner introduces more resources or the business makes a profit. Capital **decreases** when the owner takes drawings or the business makes a loss.

DRAWINGS

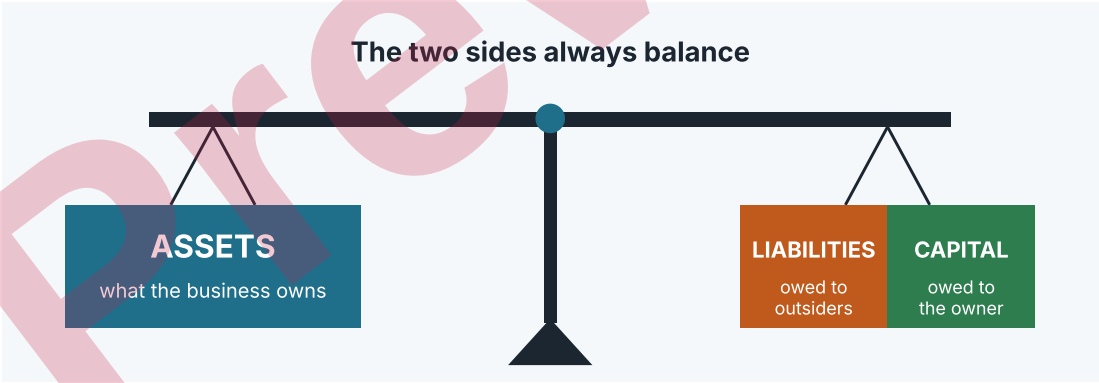
Money, goods or other assets taken out of the business by the owner for private use, or the owner's private expenses paid by the business.

The equation

Everything a business owns (its assets) has been provided either by outsiders (liabilities) or by the owner (capital). So the two sides must always be equal.

THE ACCOUNTING EQUATION

Basic form	**Assets = Liabilities + Owner's equity (capital)**
To find capital	Capital = Assets − Liabilities
To find liabilities	Liabilities = Assets − Capital
Expanded form	Assets = Liabilities + Opening capital + Capital introduced + Profit − Drawings
Closing capital	Opening capital + Capital introduced + Profit − Drawings (or − Loss)



How transactions affect the equation

Every transaction changes at least two items, and the equation still balances afterwards. This idea, that every transaction has two effects, is called **duality** and is the basis of double entry (Chapter 2).

Transaction	Assets	Liabilities	Capital
Owner pays cash into the business bank account	Increase	No effect	Increase
Buys a non-current asset, paying by bank	No effect (one up, one down)	No effect	No effect
Buys inventory on credit	Increase	Increase	No effect
Pays a trade payable by bank	Decrease	Decrease	No effect

Preview

Transaction	Assets	Liabilities	Capital
Receives money from a trade receivable	No effect (one up, one down)	No effect	No effect
Takes out a long-term bank loan	Increase	Increase	No effect
Owner takes cash or goods for private use	Decrease	No effect	Decrease
Sells goods at a profit for cash	Increase (by the profit)	No effect	Increase (by the profit)
Pays an expense, such as rent, by bank	Decrease	No effect	Decrease
Receives income, such as commission	Increase	No effect	Increase

WHY DO EXPENSES REDUCE CAPITAL?

Expenses reduce profit, and profit belongs to the owner. So paying rent reduces an asset (bank) and reduces capital by the same amount. Income does the opposite.

WORKED EXAMPLE 1.1 Applying the equation to a series of transactions

Nadia Rahman opened a stationery shop on 1 May 2026. Show the effect of each transaction on assets, liabilities and capital, and prove that the equation balances after each one.

1. Paid $20 000 of her own money into a business bank account.
2. Bought shop fittings for $6 000, paying by bank transfer.
3. Bought inventory costing $4 000 on credit from Paper Co.
4. Received a five-year bank loan of $5 000, paid into the bank.
5. Paid $1 500 to Paper Co by bank transfer.
6. Withdrew $500 from the business bank account for personal use.
7. Sold inventory which had cost $1 000 for $1 600 cash.

No.	Effect	Assets $	Liabilities $	Capital $
1	Bank +20 000; capital +20 000	20 000	0	20 000
2	Fittings +6 000; bank −6 000	20 000	0	20 000
3	Inventory +4 000; trade payable +4 000	24 000	4 000	20 000
4	Bank +5 000; loan +5 000	29 000	9 000	20 000
5	Bank −1 500; trade payable −1 500	27 500	7 500	20 000
6	Bank −500; capital −500 (drawings)	27 000	7 500	19 500
7	Inventory −1 000; cash +1 600; capital +600 (profit)	27 600	7 500	20 100

After every transaction, assets equal liabilities plus capital. After transaction 7: $27 600 = $7 500 + $20 100.

Preview